

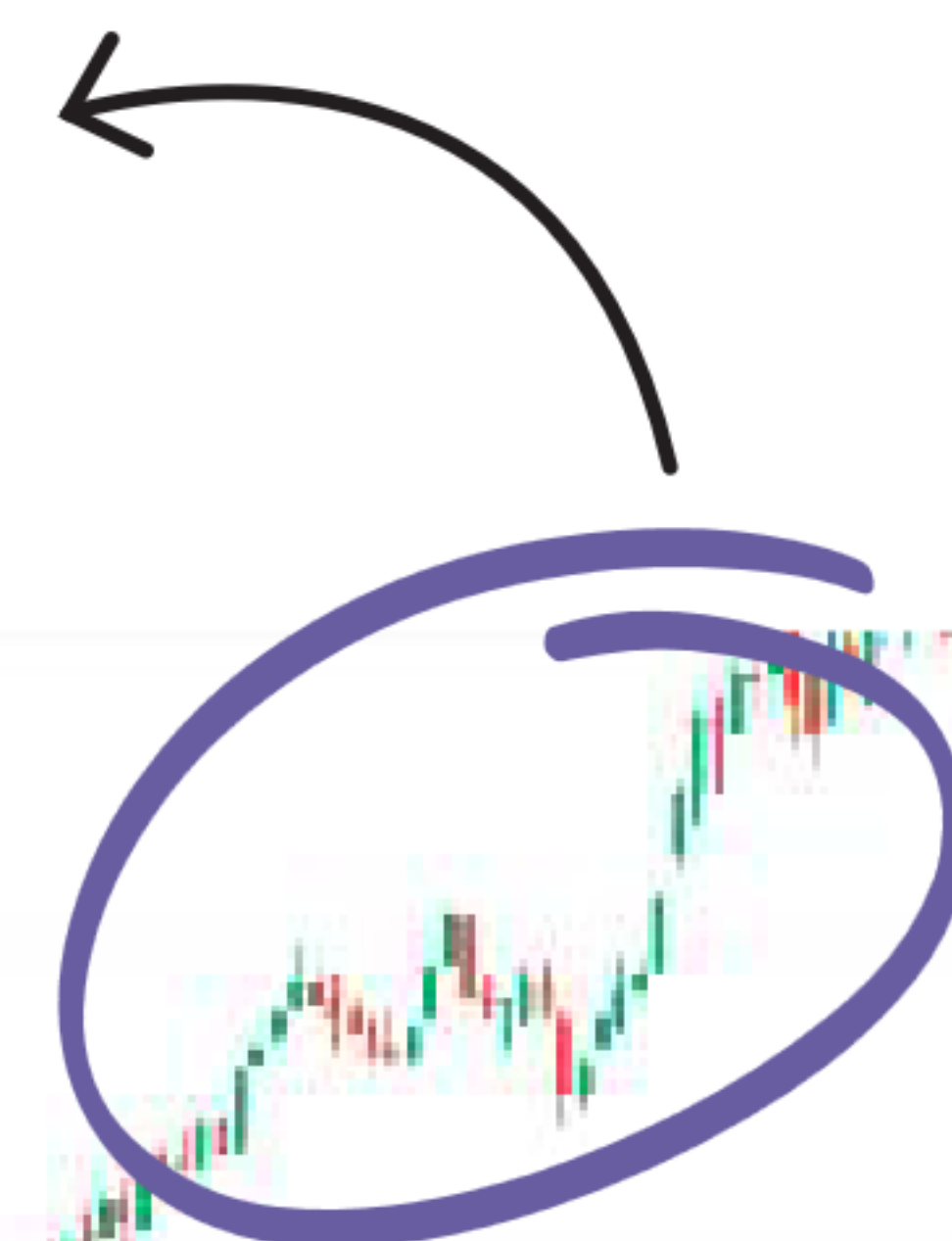
Difference between Trading and Investing

We must understand the difference between trading and investing. Trading is carried out based on the movement of the stock price, stock tips, and news. While you can make money from trading, majority of individual traders don't! In the financial year 2022, nine out of ten individual traders in the equities Futures and Options (F&O) segment saw net losses, according to a report released by the Security and Exchange Board of India (SEBI) on Wednesday.

Whereas investing is done for a longer duration, it is a combination of analysing the company's fundamentals and the valuation of the company.

Trading

In the short run, many factors can affect a stock's price, and traders often try to take advantage of that.



Investing

However, in the long run, a company's stock price reflects its fundamentals. Therefore, it's important to invest wisely for the long term.

